AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS 2021

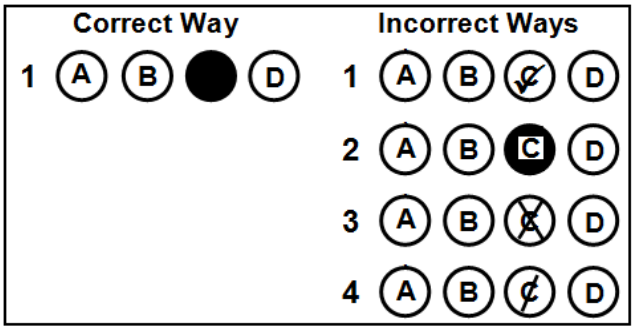
Business Studies

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

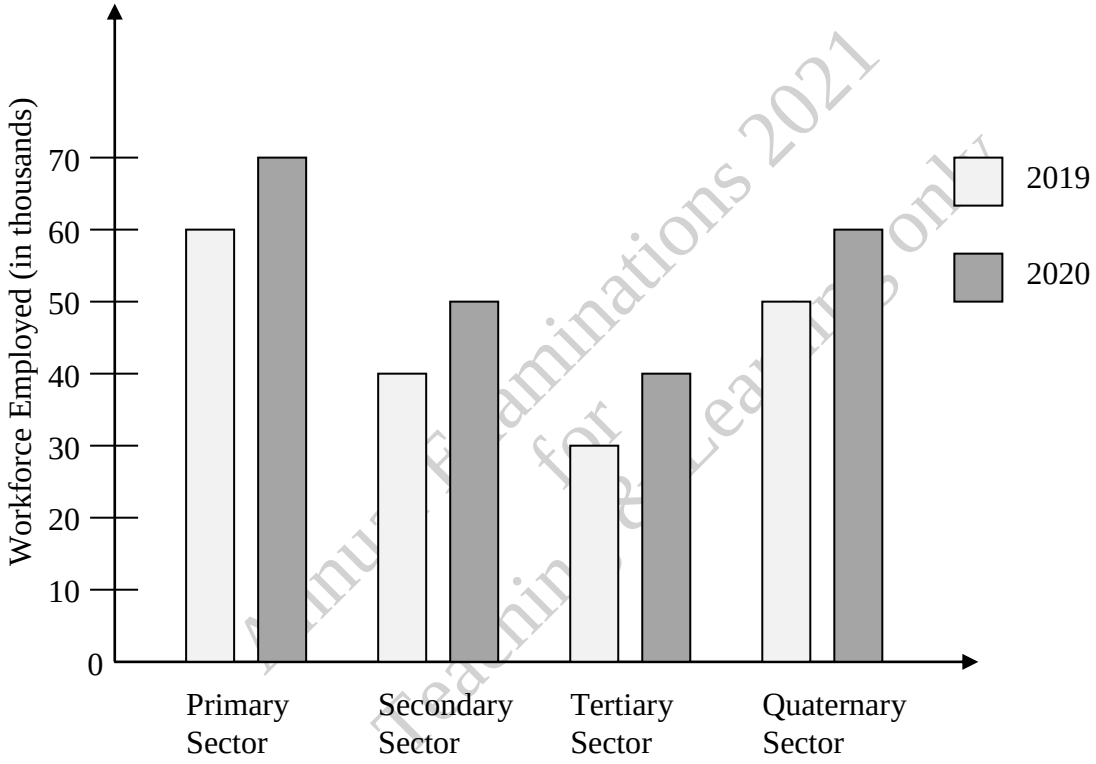
5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a simple calculator if you wish.

1. Saad's job requirement is to ensure job satisfaction, better remuneration, job security, motivation and self-actualisation to employees.

   As a stakeholder of the business, he will be classified as a

   A. vendor.
   B. manager.
   C. customer.
   D. community.

2. The following graph shows the performance of various sectors of an economy over the period of two years.



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(**Note**: Absolute change in workforce remains constant in all the sectors.)

The sector of the economy that shows the largest improvement in terms of percentage of workforce employed is the

A. primary sector.
B. secondary sector.
C. tertiary sector.
D. quaternary sector.

3. Pakistan Railways is still running trains on the tracks to far-fetched areas even when there are not enough passengers for the route and the route is not cost efficient.

   With reference to the type of business organisations, Pakistan Railways will be classified as

   A. public.
   B. private.
   C. multi-nationals.
   D. non-governmental.

4. Iqbal and Aslam decided to start a business. They agreed to sign a document highlighting the basic clauses of the partnership business.

   The document signed by them is termed as the

   A. Partnership act.
   B. Partnership deed.
   C. Partnership form.
   D. Partnership registration.

5. A business with infinite number of owners is known as

   A. partnership.
   B. sole proprietor.
   C. public limited company.
   D. private limited company.

6. A sole trader business is advantageous because it has

   A. more authority.
   B. unlimited capital.
   C. unlimited liability.
   D. more responsibility.

7. Sameer was promoted as a branch manager. With the promotion, he received a salary increment, a bonus and a company maintained 1300cc car. Previously, he was commuting via his 600cc car.

   For him, the car is classified as a

   A. necessity.
   B. comfort.
   C. luxury.
   D. giffen.

8. Which of the following is an example of a non-economic activity?

   A. A nurse treating a patient
   B. A cobbler mending a shoe
   C. A student collecting stamps
   D. An engineer working on the site map

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Use the given information to answer Q.9, Q.10 and Q.11.

Maheen established her own software house, instead of investing in her sister's firm. She becomes successful in getting a tender of developing software for a chain of departmental stores across Pakistan. For this purpose, she has purchased a brand new laptop to develop the software.

9. The type of business started by Maheen is classified as a

   A. partnership.
   B. sole proprietorship.
   C. public limited company.
   D. private limited company.

10. The client served by Maheen is known as a/ an

   A. household customer.
   B. institutional customer.
   C. governmental customer.
   D. organisational customer.

11. In the given situation, Maheen's opportunity cost would be

   A. buying a laptop.
   B. receiving a tender.
   C. starting her own business.
   D. investing in her sister's firm.

12. The owner of a business spent Rs 100,000 on recreational activities for the motivation of his workers instead of investing this money in a bank and earning an interest of Rs 20,000.

   The opportunity cost of the owner in the given situation would be

   A. Rs 20,000
   B. Rs 80,000
   C. Rs 100,000
   D. Rs 120,000

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13. The type of occupation shown in the given picture is an example of



A. primary sector.
B. secondary sector.
C. tertiary sector.
D. quaternary sector.

14. Engro Group of Industries is a well-known producer of fertilisers in Pakistan. However, it has also launched a food product named 'Olpers'. Such integration is known as

A. internal growth.
B. vertical integration.
C. horizontal integration.
D. conglomerate integration.

15. Most of the departmental stores and super stores provide loyalty cards to their customers as a tool of sales promotion.

One of the benefits of these cards for the customers is that they

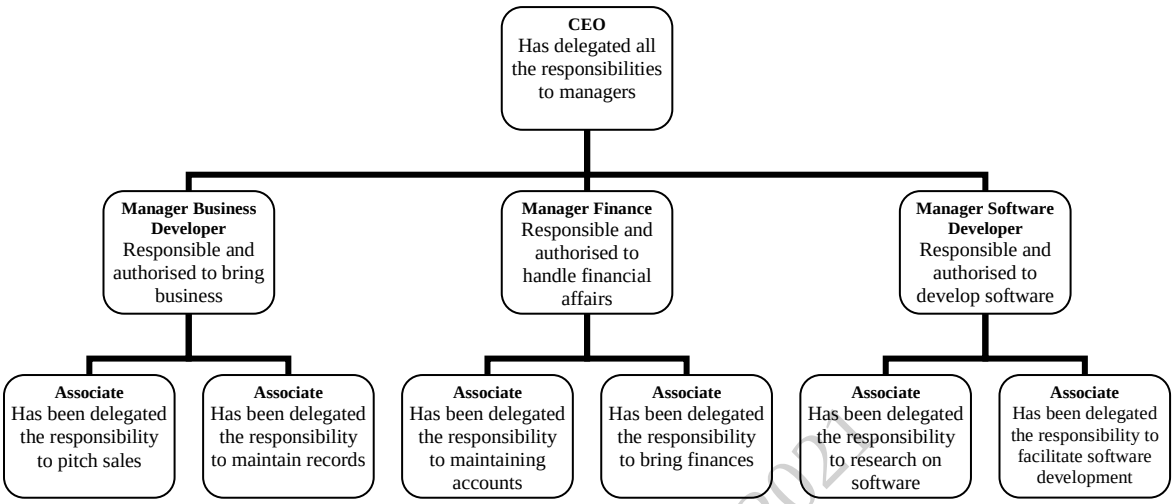
A. permit them to skip the queue.
B. help them buy goods on credit.
C. allow sales returns of goods after sale.
D. provide redeemable points as a discount option.

16. All of the following are the functions of management EXCEPT for

A. planning.
B. organising.
C. supporting.
D. coordinating.

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17. The style of leadership reflected in the given organogram is



A. dictatorial.
B. autocratic.
C. democratic.
D. lassize-faire.

18. Redar Traders is a departmental store. The floor manager of the store is team centred. The manager encourages creativity, idea sharing and engages the team in the decision making process.

The leadership style of the manager classifies him/ her as a/ an

A. autocratic leader.
B. dictatorial leader.
C. democratic leader.
D. lassize-faire leader.

19. Akram runs a bread factory where he manages his workforce in the following manner:

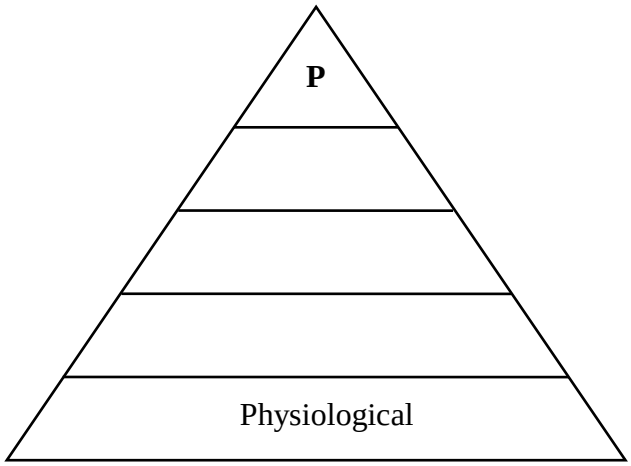
- Select and hire staff on daily wages as per production
- Keep a close supervision and an eye on how they perform
- Train them with the quickest method
- Record the time
- Offer overtime and bonuses to the quickest workers

In the given scenario, Akram will be able to motivate his workers through

A. quality assurance.
B. time management.
C. product efficiency.
D. monetary incentive.

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20. Abraham Maslow's theory of needs is a motivational theory in psychology, comprising of a five tier model of human needs depicted as hierarchical levels within a pyramid.



In the given pyramid, '**P**' represents

A. safety needs.
B. self-esteem needs.
C. belongingness needs.
D. self-actualisation needs.

21. The human resource manager of a business has announced to issue visiting cards to its employees.

With reference to Maslow's theory of motivation, the tier of motivation referred in the given situation is

A. safety needs.
B. physiological needs.
C. self-actualisation needs.
D. love and belonging needs.

22. When communication flows between a business and its vendors, it is called a/ an

A. internal communication.
B. upward communication.
C. external communication.
D. horizontal communication.

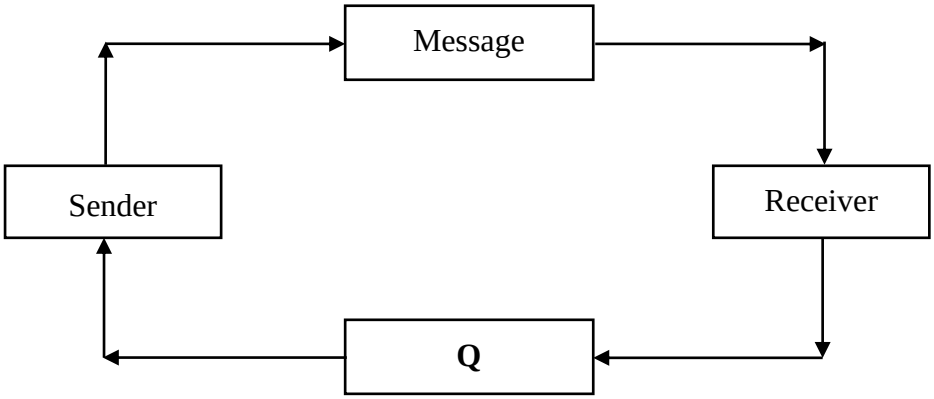
23. A business is planning to communicate with its stakeholder about the change in the working hours of the business due to an outbreak of a pandemic.

The MOST efficient mode of communication that a business should use is to

A. issue memorandums and letters.
B. call all the stakeholders for a face to face meeting.
C. invite all stakeholders through a virtual conference.
D. place a note on the notice board inside the company building.

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24. In the given communication process, '**Q'** represents



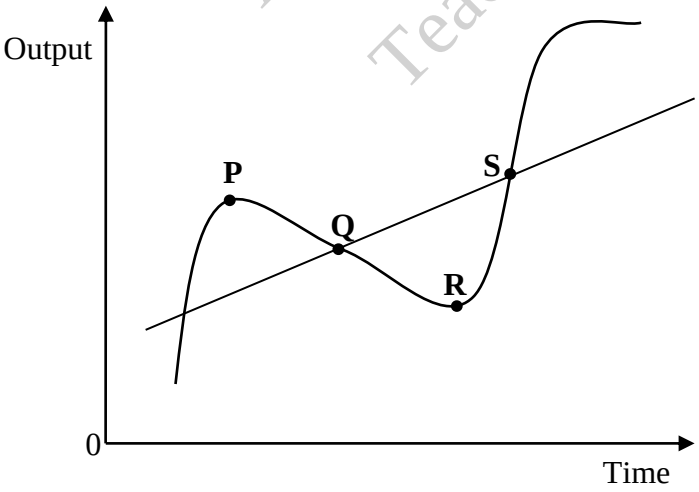
A. impulse.
B. feedback.
C. encoding.
D. transmitter.

25. Saleem runs a fast food stall in the food court of a shopping mall. Most of his customers are shoppers who like to have fast food and demand a quick service. Saleem has requested them to fill feedback forms, so that he can improve but nobody filled the forms.

The nature of the communication barrier faced by Saleem is

A. cultural.
B. physical.
C. psychological.
D. environmental.

26. The business cycle of an economy is given below:



Which of the above points on the graph represents the 'phase of recovery' of the economy?

A. P
B. Q
C. R
D. S

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27. Following are the features of a business cycle's phase:

- Economic activities slow down
- Demand starts falling
- Overproduction and future investment plans are also given up by the firms
- Steady decline in the output, income, employment, prices and profits

The phase of the business cycle identified from the features is

A. boom.
B. recovery.
C. recession.
D. depression.

28. The government of a country imposes an additional custom duty of 5% on imported goods.

This increase in custom duty will lead to the

A. promotion of the local businesses.
B. encouragement of international trade.
C. decrease in the price of imported items.
D. decrease in the source of federal revenue.

29. Deficit in the balance of payments (BoP) of a country forces the government to increase its exports.

If the government of a country wants to increase exports, then the MOST LIKELY measure to improve the deficit in the BoP would be to

A. enforce quota.
B. increase embargo.
C. reduce export duties.
D. increase import duties.

30. Recently, the government of a country has decreased custom duties on imported goods.

The MAIN reason for decreasing the custom duties would be to

A. increase the revenue of the government.
B. decrease the demand of imported goods.
C. encourage domestic industries to become competitive.
D. assist international businesses in improving their quality.

31. The government has imposed a value added tax of 8% on all the general items.

The burden of the tax will be borne by the

A. retailers.
B. consumers.
C. wholesalers.
D. manufacturers.

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32. Recent advancement in technology has forced the business organisations to shift to paper less banking (internet banking).

The LIKELY reason for the increased use of internet banking is that it

A. provides free gift hampers upon usage.
B. saves paper for the better environment.
C. makes bank services available at any time.
D. provides security to the business accounts.

33. The government of a country has passed new laws related to rented premises.

Hamza believes that this will increase the rental expense. So, he is planning to close his shop and instead conduct business online.

The advantages that Hamza will reap because of this decision would be

A. higher sales and thin profit margin.
B. constant market share and reduction in cost.
C. an access to the wide market and cost saving.
D. low transportation cost and more competition.

34. 'Economies of scales' result in an increase in output and decrease in the

A. total cost.
B. fixed cost.
C. average cost.
D. marginal cost.

35. Aleem receives Rs 18,000 as interest on the money he invested in a business.

With reference to the factors of production, Aleem's money will be classified as

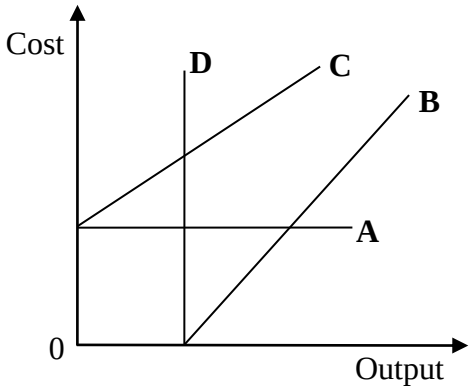
A. land.
B. labour.
C. capital.
D. entrepreneur.

36. Which of the following is NOT a fixed cost?

A. Rent of a building
B. Insurance expense
C. Salaries to workers
D. Commission on sales

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37. In the given graph, the line that represents fixed cost is labelled as



38. The part of total cost that can be completely attributed to the production of specific goods or services is known as

A. fixed cost.
B. direct cost.
C. indirect cost.
D. variable cost.

39. The expense that will be classified as indirect expense for an automobile industry is the

A. wages paid to labourers.
B. salary paid to the warehouse supervisor.
C. payment made for the purchase of steel and iron.
D. payment to a supplier for the glass work on automobiles.

40. Which of the following actions of the business will lead to cost saving during production?

A. Renting a part of the business production unit
B. Installation of a high-tech automated machine
C. Initiation of a research and development department
D. Hiring an expert from a foreign country for staff training

41. The element of marketing mix that is depicted in the given advertisement is



A. price.
B. place.
C. product.
D. promotion.

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42. As per the 4 P's of marketing mix, the **P** that includes the selection of the channel of distribution is

A. price.
B. place.
C. product.
D. promotion.

43. Yasir is an owner of a fruit stall located in the wholesale fruit market.

The pricing strategy that will be BEST suited for Yasir is

A. cost-plus pricing.
B. penetration pricing.
C. competitive pricing.
D. psychological pricing.

44. The pricing strategy used in the given advertisement can be referred as



A. cost-plus pricing.
B. penetration pricing.
C. competitive pricing.
D. psychological pricing.

45. A person who sells goods to the public in relatively small quantities for their use is generally known as a

A. retailer.
B. producer.
C. distributor.
D. wholesaler.

46. Zeeshan Limited, an international pharmaceutical company, manufactures lifesaving drugs.

The channel of distribution that will be used by Zeeshan Limited for their sales would be

A. consumer → retailer → wholesaler → distributor → manufacturer
B. manufacturer → distributor → wholesaler → retailer → consumer
C. distributor → manufacturer → retailer → wholesaler → consumer
D. manufacturer → wholesaler → distributor → consumer → retailer

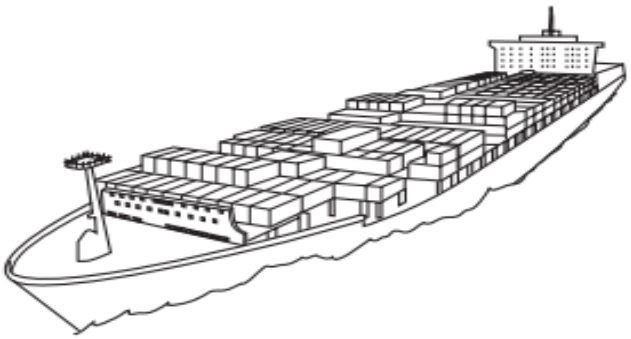
47. The reason due to which the producers opt for a channel of distribution is that it

A. increases holding cost.
B. reduces the selling price.
C. increases stock in the market.
D. reduces the cost of transportation.

48. The MAJOR benefit that sea transport has over air transport is that

A. it provides safer routes.
B. goods can be delivered quickly.
C. goods can be transported in bulk.
D. there is a lesser chance of damage of goods.

49. The given picture shows a mode of transportation.



The given mode of transportation is GENERALLY used for the transportation of

A. chocolates.
B. vegetables.
C. automobiles.
D. life-saving medicines.

50. ABC Limited after completion of its registration as a public company wants to issue its shares to the public. The directors of the company want to create awareness about the company to the general public by issuing prospectus.

The MOST suitable mode of issuing prospectus is

A. SMS.
B. email.
C. newspaper.
D. social media (Facebook and WhatsApp etc.).

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